

portfolio stayed resilient and led growth for FMCG overall". HUL is now betting on spending more to lure urban consumers towards its premium portfolio.

HUL's peers are facing similar challenges. Poor offtake by low-income households in urban and, especially, rural areas is hurting their sales growth. The crisis is severe in the hinterlands, where incomes are lower than in urban areas.

Suresh Narayanan, Chairman & MD of Nestlé India, says the food and beverages major is ramping up its rural distribution and getting into smaller packs as it is "still impacted by inflation". "The company's strategy has been penetration-led volume growth. So, I want to get back to volume growth as strongly and quickly as possible and not linger on with just value growth," he says.

Nestlé India, a subsidiary of Swiss F&B giant Nestlé S.A., aims to increase its direct reach to 6 mil-



“**Monsoon impacts the agri economy and rural consumption. And I think in that sense, most likely, the worst is past us, and from here onwards, we do see a gradual recovery in rural consumption**”

ROHIT JAWA
CEO & MD, HUL

lion outlets in the next four or five years, up from the current 5.1 million. Nestlé India, which has relatively low exposure to the rural market, grew its volume offtake even during the worst period of 2022 and 2023, when most of its peers registered subdued growth.

Narayanan says Nestlé's focus on growing its rural reach helped. Urban-focussed Nestlé used to get some 10% of its sales from the rural market in 2015. Over time, its share has grown to over 20% as it has increased its distribution reach from 20,000 villages in 2018 to 200,000 by early 2024.

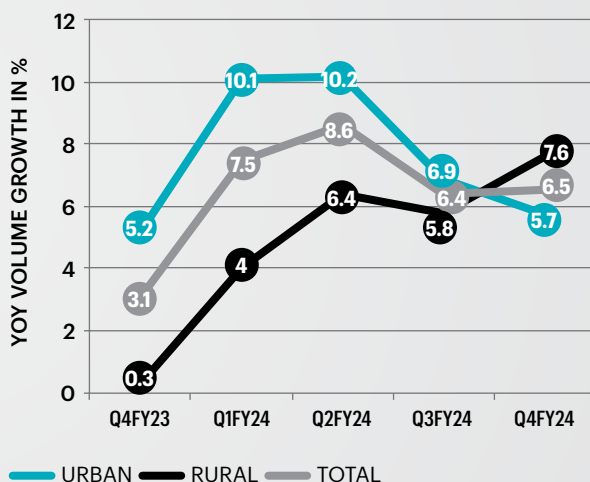
BUMPS ON THE ROAD

The auto sales numbers show diverging consumption trends among poorer and affluent households. Sales of two-wheelers and passenger cars were affected similarly: entry-level passenger cars

35

GREEN SHOOTS?

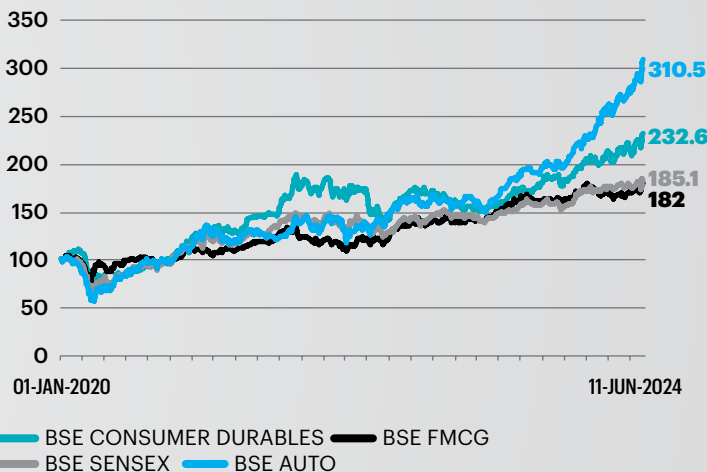
- After contracting for nearly three years, FMCG sales in the rural market are inching up
- FMCG volume growth in the rural market overtook that of urban in March after several quarters



SOURCE NIELSEN IQ

TAKING STOCK

- Among the indices of consumer-facing sectors, BSE Auto has performed the best
- BSE FMCG, meanwhile, has just about kept pace with the benchmark BSE Sensex



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